UBER TECHNOLOGIES | EQUITY RESEARCH

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STANCE	REFERENCE	BASE FAIR VALUE	BASE RETURN	BEAR / BULL
WATCHLIST	$67.62	$77.02	+13.9%	$42.20 / $130.15

Executive conclusion

The company is growing transaction scale and operating profit faster than reported revenue, but the gap between price and modeled intrinsic value is not sufficient for a high-conviction BUY at a 25% margin-of-safety requirement. Our base case estimates $77.02 per share (+13.9%) under a 10.0% WACC and 2.75% terminal growth assumption. Rating: WATCHLIST / neutral, not a 12-month price target. Valuation is unusually sensitive to terminal assumptions and the pending Delivery Hero deal. [1–4]

Investment debate: why the market could be wrong

- Network utility and cash generation: 2025 gross bookings of $193.5B (+19%) and GAAP operating profit of $5.6B; Q2 2026 trips grew 18%, bookings 24%, and adjusted EBITDA 33%. Higher trip density may permit scale benefits, but this is not guaranteed. [1–3]
- Reported revenue is an incomplete operating signal: Q2 2026 bookings rose 24% but revenue rose 12% because UK business-model changes reduced recognized Mobility revenue by about $1.1B in the quarter. The model uses bookings and GAAP presentation ratios separately. [2]
- Autonomy is two-sided: supply aggregation and partnerships (including Zoox) may expand Uber’s market; vertically integrated robotaxi fleets could reduce the value of its dispatch and demand aggregation. Significant AV investment could erode an asset-light model. [7–8]

Selected reported financial data

$ billions, except %	2023A	2024A	2025A	H1 2026A
Gross bookings	137.9	162.8	193.5	111.7
GAAP revenue	37.3	44.0	52.0	27.4
GAAP operating income	1.1	2.8	5.6	3.8
Reported FCF	3.36	6.90	9.76	5.08

Source: SEC 2025 10-K, 2026 Q2 10-Q and investor earnings statements [1–3]. H1 figures are six-month results, not full-year estimates. 2024–2025 GAAP net income included significant tax valuation-allowance releases and should not be extrapolated. Company-reported FCF is not equivalent to our unlevered DCF cash flow. [1–2]

Valuation: three independent analyst scenarios

DCF variable	Bear	Base	Bull
FY2026 gross bookings growth	16%	19%	22%
FY2030 gross bookings growth	7%	10%	13%
FY2030 EBIT margin	14.0%	17.25%	20.5%
WACC	11.0%	10.0%	9.0%
Terminal cash-flow growth	2.50%	2.75%	3.00%
Illustrative deal net-NPV overlay	−$5.0B	$0	+$5.0B
Intrinsic value / share	$42.20	$77.02	$130.15
Upside / downside vs $67.62	−37.6%	+13.9%	+92.5%

Method: projected GAAP operating income × (1 − 25% normalized tax) + D&A − capital expenditures − incremental working capital. Forecasts run through FY2030; only 25% of FY2026 cash flow is counted from October 21, 2026. Discounting uses year-end timing and perpetual-growth terminal value. EV bridges to equity through June 30 reported debt, unrestricted cash, and carrying value of financial/equity-method investments. A 2.5% share dilution cushion is added. Full details are formula-linked in the workbook.

Base-case estimate: FY2026 bookings $230.2B and reported revenue $57.8B; FY2030 bookings $375.1B, revenue $95.5B and EBIT $16.5B. These projections are analyst estimates, not company guidance. The $122.4B present value of the terminal component is ~78.5% of standalone enterprise value, so terminal WACC/g dominate the conclusion.

Public-market comparables (sanity check, not price target)

Company	Close Oct 21	EV / FY2025 adj. EBITDA	EV / FY2025 revenue
Uber (UBER)	$67.62	15.2×	2.55×
Lyft (LYFT)	$16.79	10.5×	0.88×
DoorDash (DASH)	$184.45	27.5×	5.57×

Multiples combine matched October 21 share prices and June 30 balance sheets with 2025 reported revenue/non-GAAP EBITDA. Peer definitions, growth rates, legal regimes and product mix differ materially. Uber EV excludes separately recognized financial equity assets. This comparison demonstrates dispersion rather than proving Uber is inexpensive. [1, 2, 9–13]

Delivery Hero: why our base case is explicitly conservative

On July 16, 2026 Uber announced an all-cash offer of €41.50 per Delivery Hero share, implying $14.8B equity value for 100% and ~$13.7B adjusted for prior stake purchases. The August 27 offer document identifies an acceptance window through November 5, 2026; management targeted second-half 2027 closing subject to approvals. Uber plans to use cash and new debt. [4–5]

We do NOT assume the combination has closed, or forecast acquired operating cash flow without an independently validated merger model. The base M&A overlay is $0; ±$5B outcomes are explicitly hypothetical scenario sensitivities, not modeled synergy estimates. Existing Delivery Hero ownership is embedded in balance-sheet investment values; a complete post-close valuation must eliminate or remeasure it to avoid double counting.

Principal risks and falsification tests

Risk	What must be tracked	Falsifier
Autonomous vehicle bypass	Partner trip share, fleet investment and autonomous economics	Competitors bypass Uber at scale
Acquisition and leverage	DH regulatory status, financing and post-close returns	More debt without durable cash yield
Margin sustainability	EBIT as % revenue and bookings; insurance costs	Trips grow but unit returns deteriorate
Accounting / reported FCF	UK reclassifications; SBC, reserves and capex	Reported FCF fails to become economic owner earnings
Valuation duration	WACC / terminal-growth sensitivity	Small discount-rate change erases upside

Next catalysts and diligence agenda

- November 4, 2026: Q3 earnings. Check actual gross bookings against company guidance of $58.25B–$60.25B and actual adjusted EBITDA versus $2.86B–$2.96B guidance. [3, 6]
- November 5, 2026: originally announced Delivery Hero offer acceptance deadline. Confirm threshold, financing and antitrust clearance status. [5]
- Rebuild the acquisition pro forma once verified deal details and target historical cash flows are available; reflect acquired operations and new borrowing without counting prior owned stake twice.
- Refresh share count, investment fair value, WACC and prices after Q3 results. The current memo is a dated underwriting snapshot, not a standing investment recommendation.

Research integrity and methodology notes

All historical inputs and company statements are sourced below. All scenario drivers, 25% normalized tax, 0.7% capex/revenue, 0.8% incremental working-capital convention, discount rates, diluted-share cushion and M&A NPV overlays are analyst assumptions. No explicit forecast is based on consensus analyst estimates. This is an educational investment case study and is not personalized investment advice.

Principal sources

[1] Uber 2025 SEC 10-K — https://www.sec.gov/Archives/edgar/data/1543151/000154315126000015/uber-20251231.htm

[2] Uber 2026 Q2 SEC 10-Q — https://www.sec.gov/Archives/edgar/data/1543151/000154315126000032/uber-20260630.htm

[3] Uber 2026 Q2 results — https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Results-for-Second-Quarter-2026/default.aspx

[4] Uber Delivery Hero offer — https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Acquisition-Offer-for-Delivery-Hero/default.aspx

[5] Uber offer document update — https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Publishes-Offer-Document-for-its-Takeover-Offer-for-Delivery-Hero/default.aspx

[6] Uber Nov 4 earnings schedule — https://investor.uber.com/news-events/news/press-release-details/2026/Uber-Announces-Date-of-Third-Quarter-2026-Results-Conference-Call/default.aspx

[7] Uber-Zoox AV partnership — https://investor.uber.com/news-events/news/press-release-details/2026/Zoox-and-Uber-Announce-Strategic-Partnership/default.aspx

[8] Axios September 2026 AV report — https://www.axios.com/2026/09/23/uber-robotaxi-av-strategy-dara-khosrowshahi

[9] Matched market closes — https://www.statmuse.com/money/ask/uber-lyft-dash-returns-this-year

[10] Lyft 2025 10-K — https://www.sec.gov/Archives/edgar/data/1759509/000162828026006960/lyft-20251231.htm

[11] Lyft 2026 Q2 10-Q — https://www.sec.gov/Archives/edgar/data/1759509/000162828026054499/lyft-20260630.htm

[12] DoorDash FY2025 results — https://www.sec.gov/Archives/edgar/data/1792789/000179278926000012/prodq4dashex991-pressrelea.htm

[13] DoorDash 2026 Q2 10-Q — https://www.sec.gov/Archives/edgar/data/1792789/000179278926000050/dash-20260630.htm